

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

03rd November 2015

Subject SA1 – Health and Care Insurance

Time allowed: Three hours (14.45* - 18.00 Hrs)

Total Marks: 100

INSTRUCTIONS TO THE CANDIDATES

1. *Please read the instructions on the front page of answer booklet and instructions to examinees sent along with hall ticket carefully and follow without exception.*
2. ** You have 15 minutes at the start of the examination in which you are required to read the questions. You are strongly encouraged to use this time for reading only, but notes may be made. You then have three hours to complete the paper.*
3. *You must not start writing your answers in the answer sheet until instructed to do so by the supervisor.*
4. *The answers are expected to be India Specific application for the syllabus and corresponding core reading. However, substantially the core reading material is still taken from material supplied by Actuarial Education Company which are meant for UK Fellowship examination. The core reading also contains some material which is India Specific, mostly the IRDA regulation. In view of this, it should be noted that focal point of answers is expected to be India Specific application. However, if application specific to any other country is quoted in the answer the candidate should answer the question with reference to Indian environment.*
5. *Attempt all questions, beginning your answer to each question on a separate sheet.*
6. *Mark allocations are shown in brackets.*
7. *Please check if you have received complete Question Paper and no page is missing. If so, kindly get new set of Question Paper from the Invigilator.*

AT THE END OF THE EXAMINATION

Please return your answer book and this question paper to the supervisor separately.

- Q. 1)** Your Company has been doing Health Insurance business in India for more than eight years. It is active both in Retail and Group Business. You work as Product Actuary in the Company. Company plans to come up with a Health Indemnity insurance product which aims to provide both domestic and international coverage.
- i)** Explain the factors that you need to consider while designing the international coverage. (5)
 - ii)** Explain the challenges associated with Global coverage proposition? (6)
 - iii)** Discuss the ways to address some or all of the challenges? (6)
 - iv)** Explain the fundamental difference that is expected between the proposed global coverage and a standard travel insurance product, in terms of:
 - a)** Product features (2)
 - b)** Premium rating structure (2)
 - v)** Discuss the pricing related issues with respect to following points:
 - a)** Data analysis approach to ascertain the risk premium estimate for the domestic hospitalization coverage component of the proposed product. (4)
 - b)** Additional points related to maturity of the existing hospitalization product(s) that need to be considered while referring to existing product's experience. (4)
 - c)** The steps to derive the risk premium of the Global coverage component. (6)
- [35]**
- Q. 2)** Assume that Government of India has constituted a high level committee to explore the possibilities of offering a Universal Health Insurance Scheme to Indian Citizens. Your views have been invited with respect to the following:
- i)** What are the five most important aspects that are pre-conditions for the success of this product? While answering this question, you need to clearly describe why you feel a particular aspect is important to have a place in top five and also bring out the inter-relation between these aspects. (10)
 - ii)** How product pricing, underwriting and pre-existing coverage are related to each other and what are the important aspects that are to be taken care of while achieving trade-off between all the three. (5)
 - iii)** What are the five most important things that Government can do from her side to make this product a success? Your answer should include reasons why you feel a particular action by Government will lead to success of the product and also bring out relation with the points you have covered in answering other parts of this question. (10)
- [25]**

- Q. 3)** ABC Standalone Health Insurance Company Ltd. is active in Indian market from last seven years. It offers almost all health insurance products falling in both retail and group portfolio and enjoys the reputation of being the most preferred health insurance brand. ABC utilizes large number of third party services to manage its business. The Company has started facing brand issues with respect to its latest brand campaign covering its flagship product. The underlying product contains customized wellness component which also involves drug procurement under reduced rate if purchased from XYZ Pharmacies (a newly launched medical store chain in Tier 1 cities only).
- i)** Why branding is important for Health Insurance company? What important aspects need to be considered by the company while developing an insurance product in-line with its branding strategy? (6)
 - ii)** What all issues could have resulted from the Company's recent brand campaign? (5)
 - iii)** ABC Company is contemplating the option to utilize digital media to promote their insurance products.
 - a)** What digital marketing consists of? (1)
 - b)** What are the advantages and dis-advantages of offering and promoting health insurance products via digital media? (6)
 - iv)** A Senior Management Committee (including Appointed Actuary) has been formed to develop a plan to take digital marketing ahead. What all initial points could be considered by the committee to decide on next steps in this context? (6)
 - v)** The Chief Distribution Officer suggested developing an insurance product that would only be marketed via digital media. The CEO of the company liked this suggestion and asked Appointed Actuary to share his view on the underlying risks associated with the same.

List down the key risks associated with the proposal. (6)
 - vi)** The CFO has requested you to prepare a note on the financial viability of the proposition for setting up the digital media channel. Please explain your approach to determine the financial viability. (10)
- [40]**
